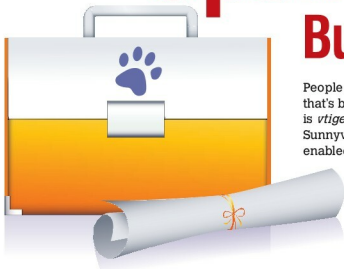


vtiger—Building a Successful Open Source Business Model



People tend to think of open source as a business model that's bound to fail. Breaking away from this stereotype is *vtiger*, a CRM solution provider in Bangalore and Sunnyvale, whose open source business model has enabled it to build a successful company.

Only a year ago, Ferrari driver Felipe Massa faced a life-threatening crash. Most people remained sceptical of his return to the racing track. However, his superb comeback in the recent Grand Prix 2010 season, finishing second for Ferrari, silenced every critic and won him innumerable fans. The story of *vtiger*, a firm that develops open source customer relationship management (CRM) software called *vtiger* CRM, runs on similar lines. As a start-up, the company was able to generate quick interest in the *vtiger* CRM project. But subsequently, it faced the huge hurdle of building a successful open source business model that was critical to the company, especially because *vtiger* had no external funding. The team faced the challenge head-on, and built a business model that won the CRM game against not just its proprietary counterparts, but also other open source competitors. Today, *vtiger* CRM has over a thousand downloads a day, and an impressive client list, including Aegon, NYSE Euronext, etc.

"*vtiger* was started by a handful of developers, with experience ranging from three years to 15 years. They had launched successful proprietary software products catering to the IT and network management markets as part of Zoho Corporation (formerly AdventNet). The team realised that users/customers seeking software solutions are

primarily concerned about features, the quality of the product, price, lock-in and support. They thought the open source model to be the most suitable to address these concerns. This marked the birth of *vtiger* CRM. And today the results are there for all to see—*vtiger* is completely self-financed today, and has been successful in the competitive CRM business for over five years," says Sreenivas Kanumuru, VP (business development), *vtiger*.

Loss leader + Support Seller = Winning Combo

The first step taken by *vtiger* to build a successful business model was to quickly understand and take the open source route in 2004. This helped the young firm to create a niche for itself and compete in the market. The company followed the 'loss-leader' business model, wherein its no-charge open source product, *vtiger* CRM, beat out traditional commercial software on pricing. This generated immediate interest among clients, and eventually won over prospective and current customers from proprietary software. "When we began, we felt the CRM space was dominated by expensive commercial solutions, and set out to offer a low-cost solution with the same capabilities. Open source was the quickest way to get a low-cost solution to the market that carried